

BUSINESS PLAN

BACKGROUND INFORMATION

1. Identification of Business/Exact business to be done
2. Assumptions
 - wishful thinking
 - I)
 - Ii)
 - Iii}
3. Primary objectives
4. Mission statement e.g. Acquiring quality training
5. Conceptual map
6. Writing style. Will depend on the nature of the business at point of writing
 - (a) potential business
 - (b) existing business

CHAPTER ONE

BUSINESS DESCRIPTION

PURPOSE

In this phase you will describe your own background and explain how it prepares you to venture into business. Then you will describe the nature of the business you wish to start. You will explain, in detail, the product(s) you will offer. Finally, you will explain how you intend to make an entry into the market and outline your plans for growth.

The Sponsor(s)

- i) Describe your background

If the business will be sponsored by more than one person, give the names of the other sponsors and their background.

- What is your name?
- What is your age?
- Where do you reside?
- What is your present occupation?

- What are your educational, technical, and professional qualifications?
(state when and where the qualifications were obtained)
- How will you compensate for your lack of experience (if any) in the business you plan to start?
- ii) Describe the proposed ownership structure of the business. If there will be more than one sponsor, clearly indicate the expected individual contributions.
 - How much will you contribute to your business?
 - How much will others (name them) contribute to your business?
 - What percentage of your business will you finance?
 - What percentage of your business will be financed by outside sources?
(e.g bank loan)

The Business

- i) Describe your proposed business
 - What will be the name of your proposed business?
 - Where exactly will your business be located? (indicate the urban/rural area, trading centre, plot number, land registration number, name of building/house, ward, street or avenue)
 - When do you intend to start your business?
 - Will you operate as a sole proprietor, partnership or company?
 - What will be the major activity of your business?
 - What will the other activity of your business?
 - Who will be your principal customers?
- ii) Describe in details the exact place of your business location.
 - In relation to your proposed business location, what will be your market area?
 - What infrastructure exists in your planned business location? (indicate the availability of roads, railway, airport, telephone, water and electricity)

- To what extent is your identified business location close to sources of raw materials, potential markets, employee's houses, potential suppliers and critical business services?
- iii) Justify the need for your business venture
- What specific needs will your business venture satisfy? (consider the unsatisfied local demand, export orientation, import substitution, sub-contracting or potential in a growth industry)
 - What contribution will your business make to the local community? (Consider points like: employment creation, use of local resources, promotion of indigenous technology or provision of good(s) and service(s).

The Industry

- i) Describe the size of the industry of your proposed business
- What is the name of industry of your proposed business? (example: A “matatu” business belongs to the transport industry)
 - What is the size of the industry in your proposed business community? (consider the total number of firms in the industry)
- ii) Describe the key characteristics of the industry of your proposed business.
- What is the size of firms in the industry? (indicate whether, small, medium or large)
 - What kind of technology is applied in the industry? (indicate whether modern, obsolete, sophisticated, or simple)
 - What is the average number of employees in the firms of the industry?
 - What is the basic capital requirements for entry into the industry?
 - What is the general level of sales/profitability for firms operating in the industry?
 - What are the seasonal factors experienced in the industry

- iii) Describe the industry trends and prospects.
 - What are the trends and prospects of sales in the industry? (indicate signs of growth, stability or decline)
 - What are the trends and prospects of technological development in the industry?
 - What are the competitive trends in the industry (e.g product innovation)

The product(s)

- i) Describe the product(s) or service(s) of your business.
 - What product(s) or service(s) of your business?
 - What will be the main feature(s) of your product(s) or service(s)?(indicate the size, colour, shape, texture, materials, quality and packaging of the product(s))
 - What benefits will customers obtain from your product(s) or service(s)? (consider the performance, convenience, economy, comfort, durability, usage, flexibility, servicing and warranties of the product(s) or service(s))
 - What unique features of your product or service will give it advantage over the competitors?
 - What patent, trade secrets or other proprietary features will you require for your product(s) or service(s)

The Entry and Growth

- i)Describe your entry and growth strategy.
 - How will you penetrate and gain acceptance in your market area? (consider your competitive advantages, weaknesses among competitors, pricing, distribution, advertising or promotion)
 - What will be the growth opportunities for your business?
 - What are your plans for growth and expansion beyond the entry product(s) or service(s)

CHAPTER 2

MARKETING PLAN

Purpose

The marketing plan is the second phase of preparing a business plan. This phase is highly critical because it provides the basis for the variables in the organizational, operational and financial plans. You will need to conduct a market survey and an in-depth analysis of your intended market. This will enable you to describe your market and their challenges. Then, you can develop marketing strategies, tactics and policies required to exploit the market opportunities. You should reference all your sources of market data and present your facts convincingly.

Customers

- i) Describe your potential customers.
 - Who will be your potential customer? (Classify your customers into homogeneous groups)
 - What are the characteristics of your potential customers? (Indicate the customers' age, income, gender, education, occupation, religion or ethnicity where applicable).
 - What will the potential customers be looking for in the form of your product or service? (Performance, economy, convenience, comfort, safety or durability of the product or service)
 - When will the potential customers purchase your product or service? (Consider the time of the day, week or month)
 - What are the purchasing patterns or characteristics of your potential customers? (indicate the quantity purchased at a given time, the frequency of purchases and the desired mode of payment)
- ii) Describe the market size of product(s) or service(s)
 - What is the approximate number of people (or firms) who require your product(s) or service(s)

- What is your estimate of expected total sales in units per purchase x frequency of purchases per month (number of customers x quantity)

Competition

- i) Describe your potential competitors.
 - Who will be your potential competitors?
 - In relation to your proposed business location, where are your potential competitors?
 - How will the location of your competitors be advantageous or disadvantages to your business?
 - What is the size of your potential competitors? (Are they small, medium or large in relation to your business size?)
 - How will be your firm's size in relation to its competitors?
 - How will the size of your firm be advantageous or disadvantageous?
- ii) Compare your proposed product(s) or service(s) with the competitors.
 - What is the comparison between your product(s) or service(s) with the competitors? For each area of comparison, give your competitors a score on a scale of 1 (low) to 5 (high)
 - What will be the competitive advantage(s) of your product(s) or service(s) over your competitors?
- iii) Describe the overall strengths and weaknesses of your potential competitors.
 - What is your realistic assessment of the overall strengths, weaknesses of your competitors? For each area of comparison give your competitors a score on a scale 1 (low) to 5 (high)
 - With reference to your competitors' overall strengths and weaknesses, why will it be easy or difficult to compete with them?

Pricing Strategy

- i) Describe your pricing strategy.
 - How will you calculate the selling price of your product(s) or service(s)
 - What factors will you consider in setting your selling prices? Government price control? Competitors' selling prices?

- Will your selling prices be fixed or variable?
- What will be the selling price of your product(s) or service(s)
- What credit terms will suit your product(s) or service(s)
- What criteria will you use for determining who gets credit?
- What will be your discount policies?
- What will you charge for after-sales services? (Show the cost of the services)

Sales Tactics

- i) Describe the methods you will use to make sales.
 - What selling methods will you employ? (selling direct to customers, personal selling or selling indirectly to customers)
 - If you will sell directly to customers, how will you recruit, retain and remunerate your sales force?
 - If you will use distributors or agents, how will you select and motivate them?
 - Which geographical areas will they cover?

Advertising and Promotion Strategy

- i) Describe the methods you will use to advertise your product(s) or service(s) to potential customers.
 - Which advertising media will you use?
 - Which image will you portray about your product(s) or service(s)
 - What will be the frequency of your advertisements?
 - How much cost will you incur per advertisements?
 - How will you measure the effectiveness of your advertisement?
- ii) Describe the methods you will employ to promote your product(s) or service(s)
 - What promotional campaign will you undertake when introducing the product(s) or service(s). (consider using free product samples or free introductory services)

- Which promotional methods will you employ on a regular basis? (consider using trade shows, sponsorships or competitions)
- How much will each method of promotion cost you per event?
- How will you measure the effectiveness of your promotional campaigns?

Distribution Strategy

- i) Describe the channels of distribution that you will utilize.
 - How will you get your product(s) or service(s) to the consumers?
(Consider using sales representatives, wholesalers, franchises or distributors)
 - What means of transport will you use? (road, railway or air)
 - How much will the means of transport cost you per month?
 - What special problems do you anticipate in distribution?
 - How will you solve the anticipated problems?

CHAPTER 3

ORGANIZATIONAL PLAN

Purpose

In the organizational plan of the business, you will develop policies regarding staffing and management of common resources for efficient production of goods or effective performance of services. You will present, in detail, the job analysis, job descriptions, employee evaluations, training plans and compensation plans for your staff. You will also indicate the supporting staff and services required for your business.

Organization

- i) Describe the proposed organization of your business.
 - Will you manage the business?
 - What will be your duties and responsibilities?
 - How much salary will you draw per month?
 - What will be the compensation of your management team?
- ii) Draw an organization chart for your proposed business.

Key Management Personnel

- i) Describe the duties and responsibilities of key members of your proposed management team.
 - What will be the exact duties and responsibilities of each member of your proposed management team? (Indicate the salaries which they will receive commensurate with their duties and responsibilities).
 - What incentives will you provide to members of the management team?

Other Personnel

- i) Identify the other personnel you will require.
 - How many employees will you require?
 - What will be their job titles and job descriptions?
 - What skills should the employees possess?
 - Where will you obtain qualified employees?

ii) Describe how you will evaluate, develop and remunerate your employees.

- How will you evaluate the performance of your employees?
- What are your training plans for your employees?
- How will you remunerate your employees?
- What incentives will you provide to your employees?

Supporting Staff and Services

i) Indicate the supporting staff and services you will require for your business.

- Who will be your banker?
- Who will be your accountant?
- Who will be your lawyer?
- Who will be your business or management advisor?
- Who will be your other supporting staff or advisors?
- Where will you obtain your postal services?
- Where will you obtain other (specify) services?

CHAPTER 4

OPERATIONAL (PRODUCTION) PLAN

Purpose

In this phase of the business plan you will describe the kinds of facilities, labour and overheads that required to manufacture your proposed product(s) or to render your proposed service(s). If you are in the manufacturing business you will explain the manufacturing process involved in making your product. For a service business you will describe the key features in offering services. You should also indicate the regulatory requirements compliances and approvals that will affect your operations.

Product design and development

- i) Describe your intended product design and development.
 - What will be the design(s) of your proposed product(s)?
 - How do you intend to develop your proposed product(s)?
 - What costs will you incur in designing and developing your product(s)
 - What kind of technology will you apply in manufacturing your products(s) or offer your services?
 - What kind of technology will you use to manufacture your product(s) or offering your service(s)?
 - Is your choice of technology the best available? If not, why do you intend to use an alternative technology?
 - How appropriate is your choice of technology? (consider simplicity in utilization, cost effectiveness, flexibility in adoption efficiency in production extent or local availability or frequency of maintenance)
 - What are your immediate plans to cope with changes in technology which will affect your proposed business?
 - What are your future plans to cope with technological developments which will affect your proposed business?

Production Facilities and Capacity

- i) Describe the machinery and equipment you will require for your production.

- What machinery and equipment will be hired or leased? When? At what cost?
- ii) Explain your plans for repairs and maintenance of the machinery and equipment.
 - Who will repair and maintain the machinery and equipment? When?
 - Will the spare parts be available locally? If yes, who will be the suppliers? At what cost?
 - If spare parts are not available locally, what important arrangements will you make? At what cost?
- iii) Describe the features of your proposed workshop/shed/factory layout.
 - Will you own or lease the workshop/shed/factory space?
 - If the workshop will be leased at what cost?
 - Draw a ground plan of the proposed workshop space showing the location of machinery and equipment and various operations.
 - Will the workshop space allow for future expansion? If no, what are your plans for expansion?
- iv) Describe the other fixed assets you will require for your business.
 - What other fixed assets will you require?

Production Strategy

- i) Describe your monthly material requirements.
 - Will the materials be available throughout the year? If no, what are your plans for months of shortages?
 - How will the raw materials be transported to your business? At what cost per month?
- ii) Describe your monthly labour requirements.
 - How many direct and indirect workers will you need?
 - What should be your workers level of skills?
 - What will be the total cost of production labour per month?
 - What will be the total cost of production labour per month?

- iii) Describe your monthly production expenses.
 - What will be your preliminary production expenses.
 - What amounts will be involved?
 - What will be your monthly production overheads? (e.g. rent, electricity, telephone, and water)
- iv) Calculate the cost of production.
 - What will be your expected production per week, month, quarter or year?
 - What will be the production cost per unit?
 - What will be the total cost of production in a given period? (e.g. week, month, quarter or year).

Production Process

- i) Describe in detail the production process.
 - Indicate the exact production steps which will be involved in producing your proposed product(s). (indicate main features of offering your proposed service(s)).
 - What external factors are likely to affect your production process?
 - How do you intend to minimize the impact of the external factors?

Government Regulations

- i) Indicate the government regulations, compliances and approvals that will affect your business.
 - What permits and licences will you require? From whom? At what cost?
 - What local taxes will you be required to pay? (show an estimate of the local taxes)
 - What approvals and compliances will be regularly required and at what cost?
 - Which other (specify) regulations are likely to affect the nature of your business opportunity?

CHAPTER 5

FINANCIAL PLAN

The financial plan will consist of the following:

- Pre-operational costs
- Working capital requirements
- Pro-forma income statement
- Pro-forma balance sheet
- Projected cash-flow statement
- Break-even level
- Desired financing
- Proposed capitalization
- Expected profitability ratios

Pre-operational cost

List all your expected pre-operational costs. State the amounts to be incurred.

Working capital requirements

Indicate your capital requirements for the first three years of operation. State any assumptions you made in arriving at your figures.

<i>Item</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
Stock of raw materials			
Work in progress			
Stock of finished goods			
Debtors			
Cash			
Total.....			

Pro-forma Income Statement

Prepare your pro-forma income statements for the first three years.

Pro-forma income statement for years ending.....

<i>Item</i>	<i>Year1</i>	<i>Year 2</i>	<i>Year 3</i>
Sales			
Cost of goods sold			
<i>Gross Profit</i>			
<i>Expenses:</i>			
Wages and salaries			
Rent			
Water			
Telephone			
Electricity			
Advertising			
Stationary			
Postage			
Transport			
Depreciation			
Interest			
Repairs and maintenance			
<i>Total Expenses</i>			
<i>Net profit before tax</i>			
<i>Net profit after tax</i>			

Pro-forma Balance Sheets

Prepare your pro-forma balance sheet at start-up and at the end of the first two years of operation.

<i>Item</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
<i>Assets:</i>			
Current Assets			
Debtors			
Stock of finished good			
Stock of raw materials			
<i>Total Current Assets</i>			
<i>Fixed Assets</i>			
Machinery and equipment (cost)			
Accumulated depreciation vehicle (cost)			
Accumulated depreciation			
Furniture and fittings (costs)			
Accumulated Depreciation			
Other (specify) Fixed			
Assets (cost)			
Accumulated Depreciation			
Total Fixed Assets			
Total Assets.....			
<i>Liabilities:</i>			
Current Liabilities			
Creditors			
Other (specify) liabilities			
Total current liabilities			
Long-term liabilities			
Bank loan			
Other (specify)			
Owner's equity			

Total Liabilities and Equity

Prepare your projected cash-flow statement on a monthly basis for the first year of operation using the format below.

Cash-flow Statement

<i>Item</i>	<i>1</i>	<i>2</i>	<i>3</i>	<i>4</i>
Cash sales				
Collections from debtors				
Other (specify)				
<i>Total Cash in flows</i>				
<i>Cash out flow</i>				
Cash purchases				
Payments to creditors				
Rents				
Wages and salaries				
Telephone				
Electricity				
Water				
Advertising				
Taxes				
Other (specify)				
<i>Total cash out flows</i>				
<i>Accumulative cash</i>				

Break-even Level

Calculate the break-even level for your business.

- i) Determine the sales and total variable costs. Calculate the total contribution margin.

Total contribution margin = Sales Variable – Total costs=Sh.....

- ii) Calculate the contribution margin percentage.

Contribution margin = Contribution Margin X 100

Sales

- iii) Determine the total fixed costs i.e. operating expenses for year 1.

Total fixed costs = Sh.

- iv) Calculate the break-even level of sales in shillings.

Break-even level (in shillings) = $\frac{\text{Fixed costs}}{\text{Contribution Margin}}$

Contribution Margin

Desired Financing

Indicate the total amount of money required to start off your business.

<i>Item</i>	<i>Amount</i>
Pre-operational costs	
Working capital	
Fixed assets (specify)	
Other (specify)	
Total Desired Financing	

Proposed Capitalisation

Provide a brief description of your proposed capitalization.

Total investment = Sh.....

Your own contribution = Sh.....

Funds from borrowing sources = Sh.....

EXPECTED PROFITABILITY RATIOS

Calculate the expected profitability ratios of your business.

- i) Gross Profit Percentage = $\frac{\text{Gross Profit} \times 100}{\text{Sales}}$

Sales

- ii) Return on Equity = $\frac{\text{Net Profit after Tax}}{\text{Owner's Equity}}$

Owner's Equity

- iii) Return on Investment = $\frac{\text{Net Profit after tax}}{\text{Total Investment}}$

Total Investment

EXECUTIVE SUMMARY

The executive summary should contain brief statements (a paragraph or two) on the following sub-headings.

- The business description
- The opportunity and entry strategy
- The target market
- The competitive advantages
- The management team
- The financial plan
- The overall schedule
- The critical risks and problems

The Business Description

Provide a brief description of your proposed business venture as follows:

- State your name, age and qualifications
- Name of the business and where it will be located
- When the business will be started
- Major business activity
- The special or unique features of your product(s) or service(s)

The opportunity and entry strategy

Give brief descriptions on the following:

- Justification of your business venture
- Plans to exploit the business opportunity
- Plans to penetrate into your market
- Plans for growth beyond the entry point

The target market

Comment briefly on the following:

- Characteristics of your potential customers
- Plans to reach your potential customers

The competitive advantages

Describe your competitive advantages based on capitalizing competitor's weaknesses.

The management team

Emphasize the strengths of your proposed composition of the management team.

The financial plan

State the amount you require to take advantage of your business opportunity. Indicate how you wish to raise the required finance. Then, specify the major items of expenditure. State your break-even level and other relevant ratios.

The overall schedule

Specify when you will carry out the major events of starting your business.

The critical risks and problems

State the critical risks and key problems your business is likely to face. Indicate steps you intend to take to minimize your risks and overcome your key problems.